



Splitting Up Together

Separations in family businesses are often precarious and though some are resolved amicably, most come with issues that need to be dealt with via a structured framework

BY KETAN DALAL

44 | **THE GODREJ FAMILY'S** decision to split their 127-year old legacy business amicably and harmoniously has been widely reported. There have been many such examples of family separations in the past. Some are done with great dignity, some not, and some are still embroiled in controversy and unseemly family battles in public view. The TVS Group arrangement and the separation in the R. P. Goenka family are good examples of a family separation done with grace.

On the other hand, the disputes in the Chhabria family (Prakash and Deepak Chhabria of Finolex cables), Raymond's imbroglio, the siblings feud (between Baba Kalyani and Sugandha Hiremath) for the control of Hikal Ltd, are examples of unresolved bitter disputes.

INSTITUTIONALISING A FRAMEWORK

Many family businesses were es-

tablished in a different era and have evolved, and in many cases, several family members across generations are involved in large companies with diverse businesses. Many of them lack a structured framework and conversations to institutionalise are sensitive. However, the need for an institutionalised framework is crucial and business families need to consider answering questions about the family's ethos, rights of owners, alignment of ownership, employment policy, the guardrails, how to institutionalise communication and governance among other questions.

This could be done in the form of charters, Memorandums of Understanding, and indeed, even shareholders' agreements, and by recognising that many family businesses are like joint ventures. The key issue today is the lack of structured relationships and the issues that arise therefrom.

STAKEHOLDERS' INTERESTS

It is also important to realise that in addition to the family, there are other stakeholders, all of whose interests need to be borne in mind, in the context of evolving such a framework.

From experience, as mentioned above, one has seen that the ability to have honest conversations around this and design such a framework is very helpful, including in a situation where the family de-

cides to split later. Leaving many of these issues open-ended and without a structure has the potential to create disputes due to lack of clarity.

ISSUES AROUND FAMILY SPLITS

Assuming a separation is necessary, it need not be acrimonious, as indeed the Godrej family separation has shown. Of course, one has to recognise that there will be various issues and they usually fall in four broad baskets—social, commercial, regulatory, and fiscal:

• Social Issues

Issues such as respect for age, contribution of founders and elders, and many such soft but important factors are crucial in arriving at settlements. Experience has shown that lack of attention to these aspects has often derailed family splits.

• Commercial Issues

Key issues that usually arise relate to valuations of businesses, use of brand names, non-compete, transitional issues, payment schedules, and obviously issues around lenders, employees and shareholders etc. A 'give and take' approach is crucial to move forward.

• Regulatory Issues

These are crucial. For example, LODR (listing obligations and